

ROE and ROCE Analysis for asianpaints Indian Paint Industry

(All amounts are in Rs. crores)

	2016	2017	2018	2019
Equity	6525	7604	8410	9520
PAT	1745	1939	2039	2159
Return on Equity	26.74%	25.50%	24.24%	22.68%
Revenue	14271	15062	16825	19342
Operating Assets	4956	5412	5755	8356
Margin	12.22%	12.87%	12.11%	11.11%
Assets Turnover	2.88	2.78	2.92	2.31
Leverage	0.76	0.72	0.68	0.87
EBIT	2725	2994	3204	3530
Return on Assets	54.98%	55.32%	55.67%	42.24%
Dividend Payout Ratio	41%	51%	41%	47%
Sustainable Growth Rate	15.76%	12.38%	14.31%	12.02%
Revenue Growth	4.9%	5.55%	11.71%	14.95%
PAT Growth	25.09%	11.11%	5.16%	5.88%

Free Cash Flow Analysis of asianpaints

- So, we see that Asian Paints in the Paint Industry has a margin>10%, Asset Turner>2, and Leverage<1. The company shows decent growth.
- Such analysis can be done for 3-4 more companies in the same industry to draw generalisation about the entire industry. If all companies show growth, we can say that industry as a whole is growing.

